WEEK 9 · LECTURE L3 · UNIT III

Accountability and Algorithmic Management

Human review, redress, and the management of platform workers by algorithm.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Specify a meaningful human review of algorithmic decisions.
- Analyze how platforms manage gig workers through information asymmetry.
- Apply procedural justice, exit and voice, and the precautionary principle to algorithmic HR.

COURSE OUTCOMES

CLO 3 and CLO 5 (accountability, ethics and fairness).

HUMAN IN THE LOOP

A real human review answers four questions

Who reviews
A named role with authority to overturn the algorithm.

How often
A set cadence, not only when someone complains.

By what criteria
Written standards for when to override.

Escalation
Where a disputed case goes next, and how fast.

This four-part specification is the course's own framing. A review without all four is a rubber stamp, and an explainability dashboard is not a correction.

When ratings do not explain the tier

An illustrative pattern

A delivery partner with customer ratings above the top-tier average can remain in the lowest incentive tier, with lower earnings and more grievances.

What it reveals

If ratings do not explain the tier, undisclosed factors (acceptance rate, hours, location) drive the allocation algorithm.

The governance question

Can the worker see the rules, contest an outcome, and reach a human?

THEORY IN DEPTH · LEVENTHAL (1980)

Fair procedures follow six rules

THE CORE IDEA

People judge fairness by the process as well as the outcome.

HOW IT WORKS

Consistency, bias suppression, accuracy, correctability, representation and ethicality.

LIMITS AND CRITIQUE

Cultures weigh the rules differently, and good process cannot fully offset bad outcomes.

IN PRACTICE

Deactivating a worker without appeal fails correctability; an appeal route is the cheapest fairness gain available.

EXAM LENS

Test any algorithmic HR process against all six rules; correctability is usually the first to fail.

THEORY IN DEPTH · ROSENBLAT AND STARK (2016)

Platforms manage through information asymmetry

THE CORE IDEA

A study of Uber drivers found the platform controls work by deciding what information drivers see.

HOW IT WORKS

Hidden rules, nudges and ratings steer behavior without a visible manager.

LIMITS AND CRITIQUE

One platform in one country; practices vary and are changing under regulation.

IN PRACTICE

Partners who are not told the allocation weights cannot manage their own work; disclosure is the first step to fair management.

EXAM LENS

Link information asymmetry to Kellogg et al.'s six Rs and to the Code on Social Security 2020.

THEORY IN DEPTH · HIRSCHMAN (1970)

Exit, voice and loyalty

THE CORE IDEA

When an organization declines, members can leave (exit) or speak up (voice).

HOW IT WORKS

Where voice is blocked, exit rises; loyalty delays exit and makes voice more likely.

LIMITS AND CRITIQUE

Gig workers often have neither cheap exit nor real voice.

IN PRACTICE

Platforms with no grievance route typically see high churn in their lowest tiers: exit becomes the only voice left.

EXAM LENS

Use exit and voice to argue that grievance mechanisms serve the organization as well as workers.

When harm is likely and benefit unproven, the burden shifts

THE CORE IDEA

Lack of full scientific certainty should not delay action to prevent serious harm.

HOW IT WORKS

Those who want to continue a risky practice must show it is safe, not the reverse.

LIMITS AND CRITIQUE

Critics argue that, applied strictly, it can block useful innovation.

IN PRACTICE

A hiring tool with an adverse impact ratio well below 0.80 and no proven benefit should carry the burden of justification.

EXAM LENS

Note the origin (environmental policy) and justify its transfer to HR explicitly.

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

"Human in the loop is meaningless unless specified." Design a human review for an algorithmic HR decision and evaluate its limits. **20 marks**

A strong answer: specifies who, cadence, criteria and escalation; uses Leventhal and Leicht-Deobald; discusses automation bias.

Using Rosenblat and Stark, Kellogg et al. and Hirschman, analyze the fairness of algorithmic management of gig workers in India. **20 marks**

A strong answer: explains information asymmetry, the six Rs and exit/voice; links to the Code on Social Security 2020; proposes transparency and grievance mechanisms.

Explain the precautionary principle and its application to HR algorithms. **10 marks**

A strong answer: states the principle, burden shift and critique.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **Human review must name who, how often, by what criteria, and the escalation**

2. **Hidden allocation rules need explaining**
   Ratings alone may not explain outcomes.

3. **Where voice is blocked, people exit**

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Prepare for Week 10: NITI Aayog (2022); Gratton (2021).

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Hirschman, A. O. (1970). *Exit, voice, and loyalty: Responses to decline in firms, organizations, and states*. Harvard University Press.

Kellogg, K. C., Valentine, M. A., & Christin, A. (2020). Algorithms at work: The new contested terrain of control. *Academy of Management Annals, 14*(1), 366–410. https://doi.org/10.5465/annals.2018.0174

Leventhal, G. S. (1980). What should be done with equity theory? In K. J. Gergen, M. S. Greenberg, & R. H. Willis (Eds.), *Social exchange: Advances in theory and research* (pp. 27–55). Plenum. https://doi.org/10.1007/978-1-4613-3087-5_2

Rosenblat, A., & Stark, L. (2016). Algorithmic labor and information asymmetries: A case study of Uber's drivers. *International Journal of Communication, 10*, 3758–3784.

United Nations. (1992). *Rio Declaration on Environment and Development* (Principle 15). United Nations Conference on Environment and Development.